



BEFORE THE FEDERAL MARITIME COMMISSION

Docket No: 22-24

RIN: 3072-AC92

FIATA's contribution to the US-FMC 'Refusal to Deal or Negotiate with Respect to Vessel Space Accommodations Provided by Ocean Common Carrier'

Dear Commissioners,

FIATA, the International Federation of Freight Forwarders Associations, welcomes this proposed rulemaking arising from the Ocean Shipping Reform Act of 2022. Founded in 1926, FIATA is the world's oldest and widest representation of the freight forwarding and logistics industry with more than 40,000 members from 155 countries, employing approximately 10 million people. FIATA considers it necessary to seek clarity on certain aspects of the FMC's final output as shipping is a global industry and the consequent effects of rulemaking often transcend borders, especially as the United States is a major trading partner for many countries.

FIATA considers the inclusion of mandatory language in the list of common carrier prohibitions regarding prohibited conduct, such as refusal to deal, necessary to create accountability and restore the balance between stakeholders of the maritime supply chain. Forwarders and NVOCCs have suffered from carriers unreasonably refusing to deal or negotiate with respect to vessel space and to honour short-term contracted capacity and rates, especially during the 2020 to mid-2022 period. FIATA is pleased to note the FMC's approach that commercial convenience alone is not a reasonable basis for a common carrier's refusal to deal or negotiate.

FIATA considers it important that the FMC defines the terms 'unreasonable', 'refusal to deal or negotiate', and 'vessel space accommodations' to ensure greater clarity in the contractual relationships underpinning the supply chain. Clarity on contexts in which certain 'operational decisions' by carriers to carry out blank sailings, withdraw or reposition capacity, and impose peak season surcharges, which when contested, result in a refusal to deal or negotiate also need to be addressed in the proposed rulemaking to increase predictability and reliability of service.

Given that most bookings and interactions with shipping lines take place via online platforms, guidance is needed on how forwarders and shippers need to prove multiple failed attempts made on such platforms as attempts to negotiate in good faith. Such guidance would also be valuable in the context of telephone communications.

FIATA requests for the rulemaking to address situations where ocean carriers refuse to deal with forwarders/NVOCCs, or restrict the amount of space available to them, or limit contracts to high-volume NVOCCs only, while referring the SME forwarders to the spot market where space, if available at all, is sold at non-competitive rates.

An unreasonable refusal to deal may involve a combination of US and non-US shipments proposed for the same service contract. The rulemaking should aim to address whether FMC's rules apply as long as there are some US shipments affected.

[FIATA International Federation of Freight Forwarders Associations](#)

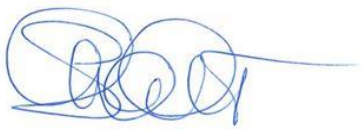
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FIATA welcomes the FMC's effort to increase transparency by monitoring VOCCs documented procedures and policies related to operations on programs, customers, markets and commodities. For coherence in the supply chain, FIATA highlights the need for dialogue between its stakeholders, and regulators like the FMC, on these decisions filed by VOCCs. This is necessary to retain balance in the supply chain and avoid a situation where other industries must function based on the decisions taken by ocean carriers for the transport of their goods.

FIATA consistently advocates for global best practices and harmonised legislation to level the playing field and build supply chain resilience. It appreciates the opportunity to contribute the global freight forwarding and logistics industry feedback to FMC rulemaking as the United States takes the lead in responding to the global maritime crisis.

Yours faithfully,



Dr. Stéphane Graber,

Director General

FIATA, Geneva

Date: 20 October 2022